

Multiple Choice

1. **Answer:** A

Options: A) quarter; The Bureau of Economic Analysis; B) week; The Bureau of Economic Analysis; C) month; The Bureau of Economic Analysis; D) month; The Bureau of Labor Statistics

Note: GDP is calculated quarterly by The Bureau of Economic Analysis to provide a timely assessment of the economic performance and growth of a country.

2. **Answer:** C

Options: A) equal to accounting costs.; B) equal to accounting profits.; C) equal to earnings or profits that could have occurred using resources elsewhere.; D) equal to earnings or profits that occurred for Mom & Pop's business.

Note: The correct answer highlights that opportunity costs reflect the potential earnings lost when resources, such as time and capital, are dedicated to a "Mom & Pop" business instead of being employed in alternative, potentially more profitable ventures.

3. **Answer:** C

Options: A) Quantity demanded of pears rises.; B) Quantity supplied of pears falls.; C) Quantity demanded of pears falls.; D) Demand for pears falls.

Note: The correct answer is based on the law of demand, which states that as the price of a good increases, the quantity demanded typically decreases, assuming all other factors remain constant.

4. **Answer:** C

Options: A) Imports into the United States will decrease.; B) Exports from the United States will increase.; C) U.S. residents will take more vacations in foreign countries.; D) More foreign visitors will travel to the United States.

Note: When the value of the U.S. dollar appreciates, it increases the purchasing power of U.S. residents, making foreign goods and services, including vacations, relatively cheaper for them.

5. **Answer:** D

Options: A) total revenues from production are equal to explicit costs.; B) explicit costs are equal to implicit costs.; C) total revenues from production are equal to implicit costs.; D) total revenues from production are equal to the sum of explicit and implicit costs.

Note: The correct answer is based on the concept of normal profit, which occurs when total revenues equal the total of both explicit costs (direct monetary expenses) and implicit costs (opportunity costs), indicating that the firm is covering all its costs without making an economic profit.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: A change in technology typically enhances productivity and efficiency in production processes, leading to a shift in the aggregate supply curve rather than the aggregate demand curve, which is influenced by consumer and business spending.

7. **Answer:** True

Options: A) True; B) False

Note: The production from an Italian shoe factory in the U.S. is included in the U.S. GDP because GDP measures the total value of goods and services produced within a country's borders, regardless of the nationality of the producer.

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because when supply is perfectly elastic, the entire burden of an excise tax falls on producers rather than consumers, regardless of the price elasticity of demand.

9. **Answer:** False

Options: A) True; B) False

Note: Real GDP refers to the measure of economic output that has been adjusted for inflation, while current-dollar GDP, also known as nominal GDP, measures output without adjusting for inflation.

10. **Answer:** False

Options: A) True; B) False

Note: A rightward shift in the demand curve increases demand, while a leftward shift in the supply curve decreases supply, which together typically lead to a higher equilibrium price, not a lower one.

Long Form Response

11. **Answer:** Expansionary monetary policy is a tool used by central banks to stimulate the economy during a recession. By lowering interest rates and increasing the money supply, it encourages businesses and individuals to invest more. When businesses invest, they create new projects and expand operations, which boosts aggregate demand—the total demand for goods and services in the economy. As aggregate demand increases, companies need to hire more workers to meet this demand, leading to higher employment levels. Overall, expansionary monetary policy helps to revive economic activity by promoting investment, increasing aggregate demand, and ultimately reducing unemployment.

Note: correct because it accurately describes how expansionary monetary policy lowers interest rates and increases the money supply to stimulate investment, which in turn raises aggregate demand and promotes higher employment levels during a recession.

12. **Answer:** A rational consumer deciding how many Girl Scout cookies to eat will consider the concept of marginal benefit and marginal cost. The marginal benefit is the enjoyment or satisfaction gained from eating one more cookie, while the marginal cost is the negative consequence, such as feeling too full or the cost of purchasing more cookies. The consumer will continue to eat cookies as long as the marginal benefit of eating one more cookie is greater than or equal to the marginal cost. Once the enjoyment of another cookie no longer outweighs the cost, the consumer will decide to stop eating. This process helps the consumer maximize their overall satisfaction while managing their resources effectively.

Note: correct because it accurately describes how a rational consumer evaluates the trade-off between the additional satisfaction gained from consuming one more cookie and the drawbacks associated with that consumption, ultimately deciding to stop when the marginal benefit no longer exceeds the marginal cost.